

Amendment No. 1 to HB1097

Farmer  
Signature of Sponsor

**AMEND Senate Bill No. 845\***

**House Bill No. 1097**

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 1, Part 4, is amended by adding the following as a new section:

(a) The attorney general and reporter may review whether a local government action violates state law or the Constitution of Tennessee. If the attorney general and reporter concludes that a local government action reviewed pursuant to this subsection (a) violates state law or the Constitution of Tennessee, then the attorney general and reporter shall provide to the local government's chief executive officer, governing body, or other subdivision of the local government that adopted the local government action written notice identifying the specific statutory or constitutional provision that the local government action is deemed to violate.

(b)

(1) If a local government receives a notice pursuant to subsection (a), the local government may, within sixty (60) days from receipt of the notice:

(A) Resolve the violation by repealing or otherwise adequately revising the local government action to eliminate the identified violation and provide the attorney general and reporter with a written statement that the violation has been resolved. The attorney general and reporter shall subsequently determine and acknowledge whether the local government has adequately resolved the violation for purposes of this subdivision (b)(1)(A); or

(B) Challenge the findings of the attorney general and reporter by filing a special action before a three-judge panel, in accordance with § 20-18-101, seeking a declaratory judgment that the local government action is consistent with and does not violate state law or the Constitution of Tennessee.

(2) If the local government repeals or adequately revises the local government action to eliminate any violation of state law or the Constitution of Tennessee and provides the attorney general and reporter with a written statement that the violation has been resolved pursuant to subdivision (b)(1)(A), and the attorney general and reporter agrees that the violation has been resolved, then the attorney general and reporter shall take no further action.

(3) If the local government challenges the findings of the attorney general and reporter pursuant to subdivision (b)(1)(B), then the attorney general and reporter shall defend the attorney general and reporter's findings in the special action.

(c)

(1) The attorney general and reporter shall proceed pursuant to subdivision (c)(2) if, after sixty (60) days from receipt of the notice sent pursuant to subsection (a), the attorney general and reporter determines that the local government has failed to resolve the violation pursuant to subdivision (b)(1)(A); and

(A) The local government has not filed an action pursuant to subdivision (b)(1)(B); or

(B) The local government filed an action pursuant to subdivision (b)(1)(B) and upon conclusion of the action, the final judgment of the court, and final resolution of any appeal of the final judgment, is that the

local government action violates state law or the Constitution of Tennessee.

(2) Pursuant to the requirements of subdivision (c)(1), the attorney general and reporter shall:

(A) Instruct the commissioner of finance and administration and the state treasurer to withhold all funds of the state allotted to the local government via grant, contract, or statute, including, but not limited to, state-shared taxes; and

(B) Continue to monitor the response of the local government, and when the action is resolved so as to no longer violate state law or the Constitution of Tennessee, the attorney general and reporter shall notify:

(i) The governor, the speaker of the senate, the speaker of the house of representatives, and the local government that the violation has been resolved; and

(ii) The commissioner of finance and administration and the state treasurer to resume funding the local government, which must include the distribution of state-shared revenues to the local government.

(d) Upon receiving notification pursuant to subsection (c), the commissioner of finance and administration shall withhold all funds of the state allotted to the local government via grant, contract, or statute, including, but not limited to, state-shared taxes, until the local government has resolved the violation, as determined by the attorney general and reporter. The amounts withheld pursuant to this subsection (d) must be held in reserve by the department and allocated to the local government once the violation has been resolved pursuant to this subsection (d).

(e) Notwithstanding subsection (d), this section does not authorize the withholding of funds allocated to a local government that would violate contracts to which

the state is a party, the requirements of federal law imposed on the state, judgments of a court binding on the state, or obligations of the state under the Constitution of Tennessee.

(f) As used in this section:

(1) "Local government" means a county, including a county with a metropolitan or charter form of government, and an incorporated city or town; and

(2) "Local government action" means an ordinance, regulation, or order adopted or promulgated by the chief executive officer or governing body of a local government or a regulation, rule, written policy, or written guideline adopted by any agency, department, or other subdivision of the local government.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it, and applies to local government actions taken on or after that date and funds allocated or appropriated during or after the 2026-2027 fiscal year.